

Tribhuvan University
Faculty of Humanities & Social Sciences
OFFICE OF THE DEAN

2021

Bachelor in Computer Applications

Course Title: **Applied Economics**

Code No: Semester: **VI**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Note: Group A (Multiple Choice Questions) is not available from the source. The paper begins with Group B.

Group B

2. Distinguish the concepts of microeconomics and macroeconomics.
3. What is demand? Explain its determinants.
4. a) A consumer buys 80 units of a goods at a price of Rs.4 per unit. When the price falls, he buys 100 units. If the price elasticity of demand is -1, find out the new price of the goods. b) Price elasticity of supply of a good is 5. A producer sells 500 units of this good at Rs.5 per unit. How much will sell at the price of Rs.6 per unit?
5. 'Price effect is the combination of income and substitution effect.' Describe.
6. Explain the relationships between AR and MR.
7. How price and output are determined under perfect competition market in the long-run?
8. Explain the primary and secondary functions of money.

Group C

Attempt any TWO questions[2x10=20]

9. Explain the properties of the Indifference Curve.
10. Based on the table given below, answer the questions:

Quantity of output	0	1	2	3	4	5
Total Variable cost	0	20	30	40	48	50
Total cost	30	50	60	70	80	85

a) Plot the TFC, TVC and the TC curves.b) Explain the reason for the shape of short-run total cost curves.c) Calculate the average fixed cost (AFC), the average variable cost (AVC), the average total cost (ATC), and the marginal cost (MC).
11. Consider the following data to calculate the following.

S.No	Particulars	Rs(In crores)
1	Exports of Goods and Services	35422
2	Imports of Goods and Services	36323
3	Private Final Consumption Expenditure	58326
4	Net Factor Income from Abroad (NFIA)	(-)5685
5	Subsidies	6746
6	Capital Consumption Allowances (Depreciation)	44347
7	Compensation of Employees	26726
8	Government's Final consumption Expenditure	76029
9	Indirect Taxes	77281
10	Gross Fixed Capital Formation	126101
11	Mixed Income of the Self-employees	32224
12	Interest, Rent and Profit (Operating Surplus)	100881
13	Change in Stocks	2078a)

a) GDPMP by using income method and by expenditure method.b) GDPFC and GNPMPc) NNPF and NNPM

